

Building a Learning Organization in the Offshore Oil Industry

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The meek may inherit the earth, but not its mineral rights.
Source: J.P. Getty

The oil industry has always drawn a distinction between the intangible assets that are often the source of underlying value in oil exploration and production, and mere physical assets. In more recent years, it has, for example, become clearer that successful exploration for oil or gas reserves is related to the quality and private nature of the information that a corporation acquires about a possible hydrocarbon reservoir, and the manner in which that information is manipulated and interpreted. A corporation's capabilities in information and knowledge acquisition and management are, therefore, critical distinguishing features in long term competition for new oil and gas reserves.

In the 1990s, there has been a new emphasis on the way that corporations can learn to identify, appraise and develop reservoirs—each an essentially unique geological configuration—in the most effective manner. This paper reports on lessons concerning strategic learning capabilities encountered in exploratory case studies in UK Continental Shelf oil field development projects. The case studies particularly highlight four aspects of strategic learning capabilities: a strategic concern with institutionalizing an appropriate learning style; an emphasis on the pace of learning as a competitive tool; the structuring of learning capabilities so as to recognize

Since the collapse of the price of crude oil in the mid 1980s, some participants in the sector have overhauled their approach to learning for strategic advantage. The management teams dealing with the projects discussed here demonstrated an awareness that learning can be a core rigidity as well as a core competence, and set about institutionalizing *new* learning. The speed of learning was an important determinant of success, leading to substantial increases in project NPVs and a rapid reinvestment in the learning capabilities themselves. Learning about 'boundary management' helps to distinguish areas where internal learning could develop proprietary competitive advantage, from those areas where valuable learning might best be achieved through alliance. © 1999 Elsevier Science Ltd. All rights reserved

areas where the potential for competitive advantage exists; and the structuring of learning to recognize other areas where collaborative approaches to learning through alliances provide better returns.*

*The underlying case studies were conducted as a research for a joint Open University Business School/BBC business video, entitled "A New Way of Life". This video has been broadcast and is available as part of the OUBS MBA course, "Strategy" (OU, 1997, Milton Keynes). It also won a silver medal at the New York Film Festival.

Background to the Case Studies

The studies were limited to the upstream exploration and production sectors of the oil and gas business. These sectors are not concerned with the

